August 26, 2026
EQUITY RESEARCH | COMPANY UPDATE

LANGSTON'S

Tesla, Inc.

TSLA NASDAQ

Hold	**$350.25** ▲ **0.37%**	12M Price Target **$385.00**	52-Week Range $297.38 – $498.83	Market Cap $1.38T

TSLA: Robotaxi Hopes vs. EV Credit Headwinds Standoff

WHAT HAPPENED

- Stock barely budged (+0.37%) but the options market is flashing yellow — traders bought a ton of near-term puts (bets the stock falls) at $350-355 strikes, spending ~$100M in notional. Translation: someone's hedging or betting on a drop in the next few weeks.
- The narrative is shifting to robotics — a Benzinga piece argues Tesla's edge in humanoid robots isn't the AI, it's the manufacturing scale. That's the bull story keeping the stock at $1.38T market cap while auto deliveries stagnate.

WHY IT MATTERS

Here's the tension: TSLA is priced like a robotics/AI company (~160x forward earnings — meaning you're paying $160 for every $1 of profit next year) but still earns 80% of revenue from selling cars into a market where the $7,500 federal EV tax credit expired on September 30, 2025 under the Trump "One Big Beautiful Bill." That's a real demand headwind going into Q3/Q4 earnings, and the bearish options flow suggests smart money is positioning for a disappointment. The bull case now depends entirely on Austin robotaxi expansion and Optimus — if either slips, there's no earnings floor to catch the stock. Watch for Musk to lean harder into the AI/robotics narrative on the next earnings call because he has to, not because he wants to.

POLICY & POLITICAL WATCH

The big one already happened and it's a headwind: the EV tax credit rollback in Trump's tax bill removed the $7,500 consumer incentive, and CAFE fuel economy penalties have been zeroed out — which kills Tesla's regulatory credit revenue (that was $2.8B of nearly pure profit last year). On the flip side, the administration's push to loosen federal autonomous vehicle rules (NHTSA is drafting a national AV framework to preempt state-by-state rules) is a direct tailwind for robotaxi scaling — if that framework lands in Q4, TSLA gets a green light to expand beyond Austin and the Bay Area. Also worth watching: Section 232 tariffs on Chinese battery components — Tesla's Shanghai supply chain and LFP battery sourcing get squeezed if those go up.

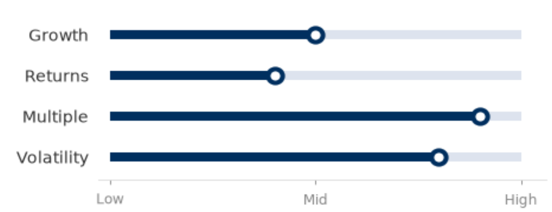
IS IT EXPENSIVE?

At $350, you're paying about 160x next year's earnings and roughly 13x revenue — for context, Ford and GM trade at 6-8x earnings and less than 1x revenue. That gap only makes sense if you believe robotaxi and Optimus become real businesses inside 3 years. The stock is sitting at just 26% of its 52-week range, meaning it's closer to the lows than the highs — that's your hint that even bulls are getting cautious about paying this multiple with EV demand softening.

Key Data

Price (USD)	**$350.25**
12M Price Target	**$385.00**
Upside / (Downside)	**+9.9%**
Market Cap	**$1.38T**
FY2026E Revenue	**$108M**
FY2027E Revenue	**$132M**
FY2026E EPS	**$2.15**
FY2027E EPS	**$3.10**
Fwd P/E	**163.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

TSLA — Tesla, Inc. | August 26, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$380.00**	$355.00	**$325.00**
6 Months	**$450.00**	$385.00	**$300.00**
1 Year	**$525.00**	$385.00	**$275.00**
2 Years	**$650.00**	$425.00	**$240.00**
5 Years	**$900.00**	$500.00	**$200.00**
10 Years	**$1500.00**	$650.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.44% 5D) and Healthcare (+3.28% 5D) — money is rotating into defensives and AI-adjacent mega caps as rate cut expectations firm up.

COOLING OFF: Technology (-2.09% 5D) — the AI trade is taking a breather after a big run, and TSLA is caught in that pullback despite its robotics story.

ROTATION WATCH: Capital is rotating OUT of high-multiple growth (where TSLA lives) INTO healthcare and comm services. That's a headwind for TSLA specifically because it needs multiple expansion, not compression, to justify $350+.

RELATED PLAY: If you believe the robotaxi/AV thesis, the picks-and-shovels play is LiDAR and sensor suppliers (LAZR, MBLY) or the chip layer (NVDA for AI inference in cars) — those benefit whether Tesla wins or a competitor does.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — every robotaxi and humanoid robot needs their chips, so they win either way.
- GOOGL (Alphabet/Waymo): Waymo is already doing paid robotaxi rides at scale in 5+ cities — they're the "show me" comparison Tesla is being measured against.

TSLA CONTEXT: TSLA is LAGGING both — Waymo has a real robotaxi business today while Tesla has a pilot; Nvidia has real AI earnings while Tesla has AI promises. That tells us the market is starting to price in execution risk on Musk's timeline, which is why the stock sits near the low end of its range.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously neutral. The robotics/AI optionality is real but the price already reflects a lot of it, and the EV business is heading into a policy-driven demand air pocket.

POSITION SIZE: 2-4% — this stock can move 10% in a day on a Musk tweet, so size for the volatility, not the conviction.

ENTRY POINTS: I'd wait for $310-325 on a macro pullback or a soft Q3 delivery number — buying at $350 with bearish options flow is chasing.

TIME HORIZON: 12-24 months — the catalyst you're paying for is robotaxi commercialization proof points in 2027.

WHEN TO BAIL: Auto gross margins under 15%, robotaxi expansion delayed past 2027, or Musk sells more than 5% of his stake.

HEDGING: Buy put options 10-15% out of the money as insurance — think of it like paying a small premium so you can sleep at night if the stock drops 20% on bad news. Or just size the position small enough that a 30% drawdown doesn't ruin your year.